

| Assignment – Round 2

Tim Hortons India

Market Entry Strategy

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Demand-side foundation: who is Tim Hortons' customer before they become one?

Tier 1 Consumer

₹380–450

Avg ticket at premium cafés. Aspirational, experience-driven. Starbucks territory. TH can undercut meaningfully.

Sweet Spot Target

₹250–300

target ticket - below Starbucks, above CCD. India's fastest-growing consumer bracket, underserved by global QSR café brands.

Morning Daypart

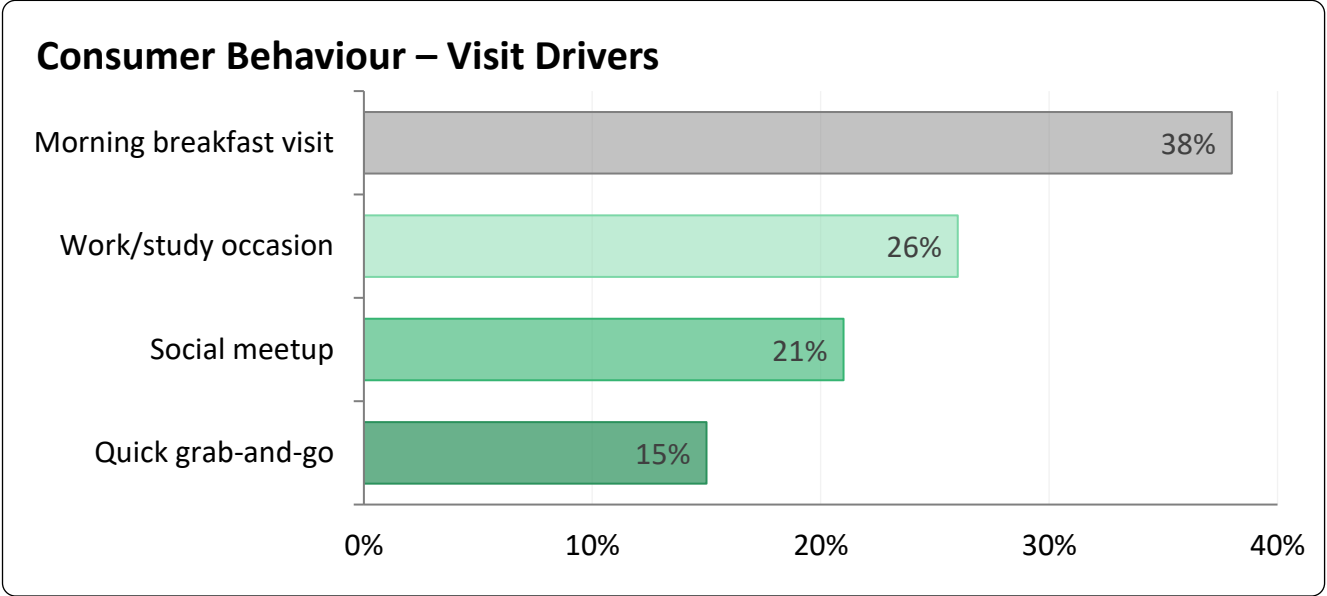
38%

Of café visits are morning/breakfast. No incumbent owns the breakfast + coffee occasion at scale. TH's core identity.

Coffee vs Chai

32%

Urban adults drink coffee monthly. Chai remains dominant; TH must localize with a Chai Latte to bridge both audiences.



India Café Market – TAM / SAM / SOM Build

India F&B Market

₹90,000Cr
TAM (F&B Total)

Café Segment (5% of F&B)

₹4,500Cr
Café TAM

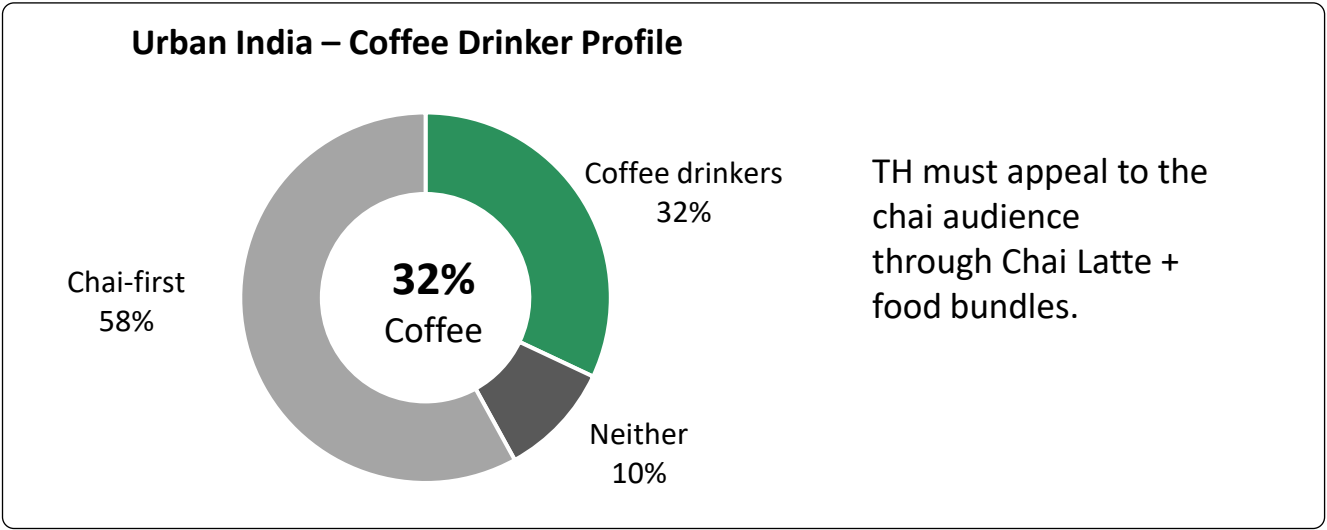
Organised Cafés (35%)

₹1,575Cr
SAM (Organized)

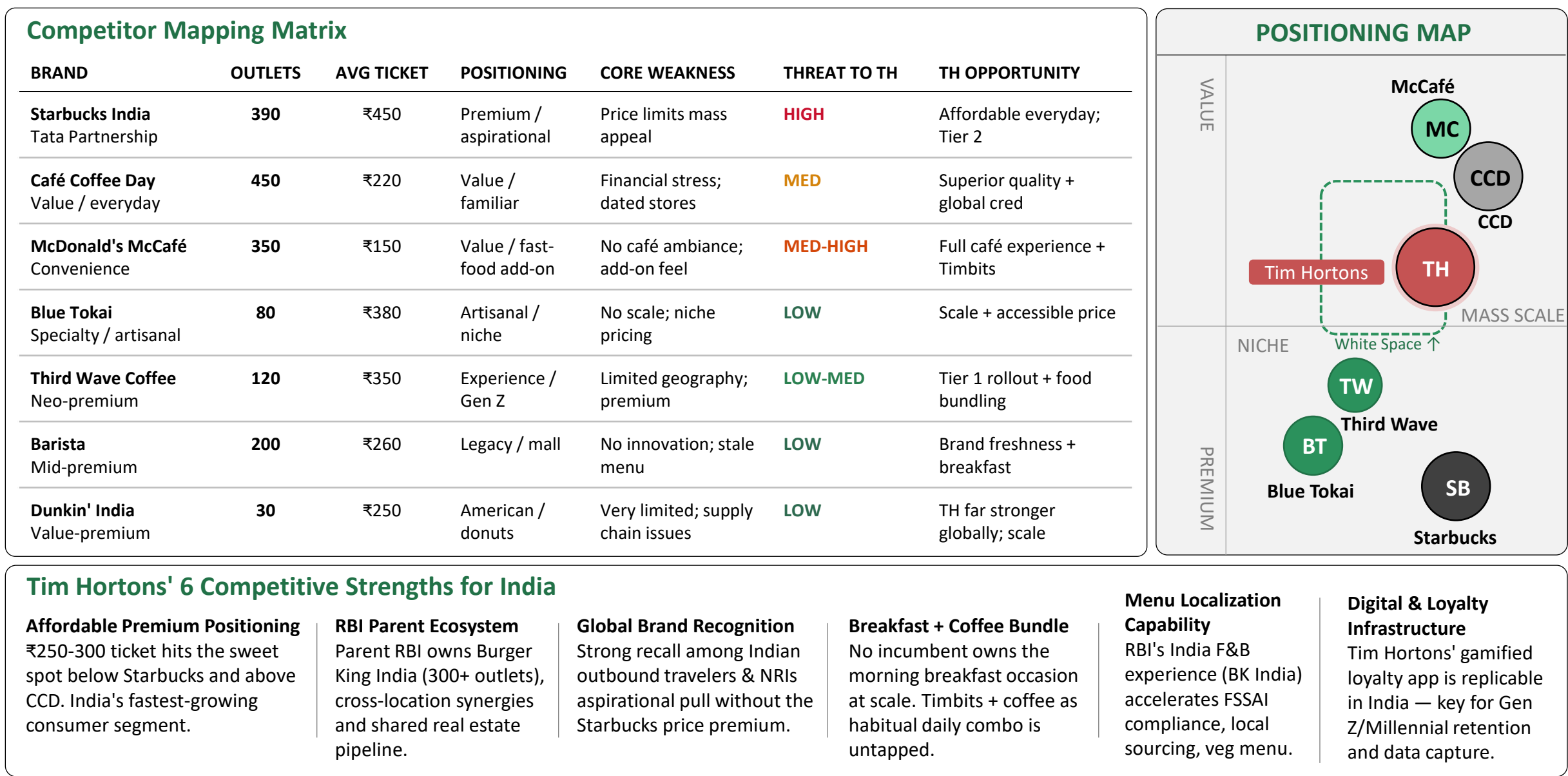
Tim Hortons Achievable (0.5%→7%)

₹8–218Cr
SOM Yr1→Yr5

Key insight: India's organized café market grows at 12% CAGR, expanding from ₹1,575Cr (2023) to ₹3,115Cr by FY28 — giving TH a rising tide to enter on.

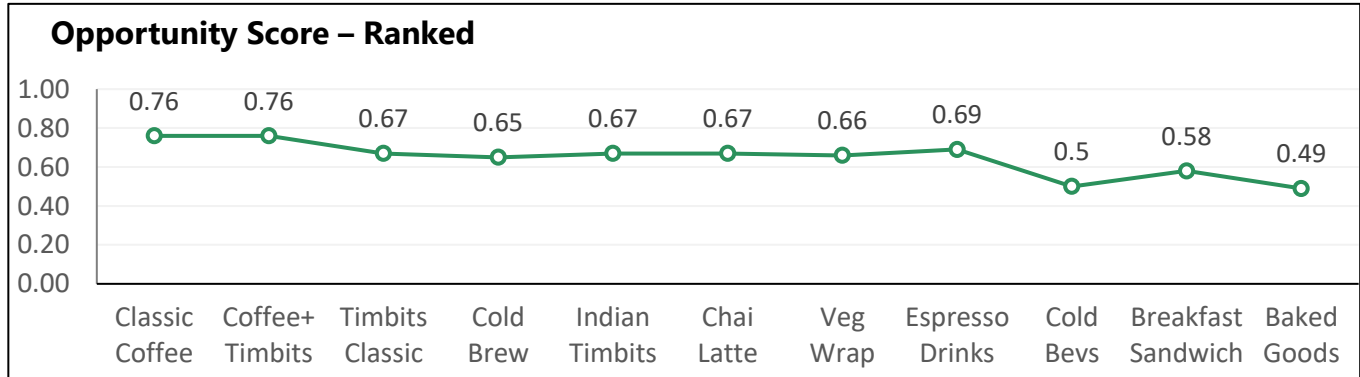


7 players mapped – where Tim Hortons fits and the white space it can own



Which products to lead with, include, or defer – scored across 6 dimensions

Full Scoring Matrix — All 11 Products (Weightages: Margin 20% Demand 20% Localization 15% Competition 20% Volume 15% Brand 10%)										
PRODUCT	PRICE	COGS	GROSS MARGIN	DEMAND FIT	LOCALISATION	COMPETITION	VOLUME	BRAND FIT	OPP SCORE	RECOMMENDATION
Classic Drip Coffee	₹120	₹32	73%	5	4	4	5	5	0.76	PRIORITY
Combo (Coffee + Timbits)	₹190	₹59	69%	5	4	4	5	5	0.76	PRIORITY
Cold Brew / Iced Coffee	₹200	₹54	73%	5	4	3	4	4	0.67	INCLUDE
Espresso Drinks (Latte/Cap)	₹180	₹54	70%	4	4	3	4	5	0.65	INCLUDE
Timbits (Indian Flavours)	₹90	₹39	57%	4	5	3	4	5	0.67	INCLUDE
Chai Latte (India-localised)	₹130	₹42	68%	5	5	2	5	3	0.67	INCLUDE
Vegetarian Breakfast Wrap	₹150	₹60	60%	4	4	4	4	4	0.66	INCLUDE
Timbits (Classic)	₹80	₹28	65%	5	3	3	5	5	0.69	INCLUDE
Classic Breakfast Sandwich	₹160	₹61	62%	3	3	3	3	3	0.50	DEFER
Cold Beverages (Frappes)	₹220	₹48	78%	4	3	3	4	3	0.58	DEFER
Baked Goods (Muffins)	₹120	₹43	64%	3	3	3	3	2	0.49	DEFER



Launch Strategy — Day 1 Menu Architecture

PRIORITY – Lead products (launch these first)

- ☐ Classic Drip Coffee – ₹120, 73% margin, TH's core identity in Canada
- ☐ Coffee + Timbits Combo – ₹190, drives avg ticket + habit formation

INCLUDE (Full menu - opening day)

Cold Brew · Espresso Drinks · Timbits (Classic & Indian flavours) · Chai Latte · Vegetarian Breakfast Wrap

DEFER (Test after 6 months of data)

Classic Breakfast Sandwich · Cold Beverages / Frappes · Baked Goods

Entry mode → city prioritization → channel mix → 3-phase rollout plan

Entry mode Recommendations

RECOMMENDED – Phase 1

Master Franchise / JV

Partner with Devyani International or Jubilant Food Works – experienced India QSR operators with existing supply chain and FSSAI know-how.

Phase 2 Expansion

Franchise Expansion

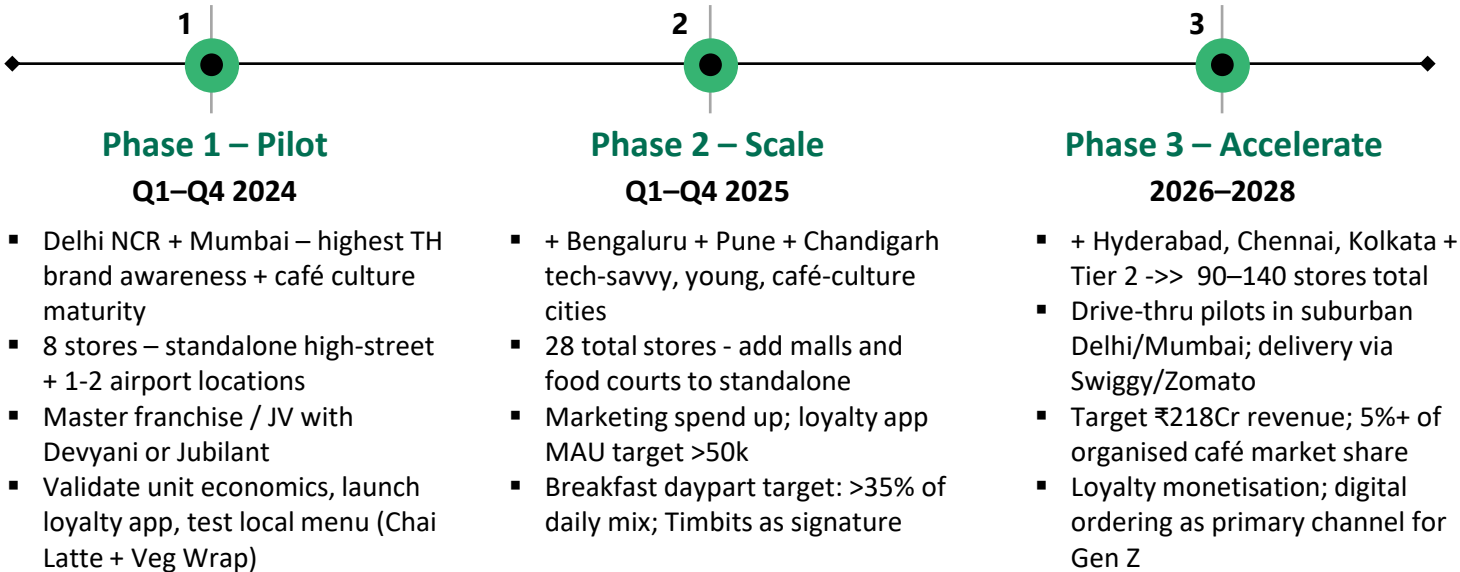
Scale via sub-franchisees post unit economics validation. Prioritize airports, malls, and transit hubs – high footfall with captive consumer.

Phase 3 – Scale

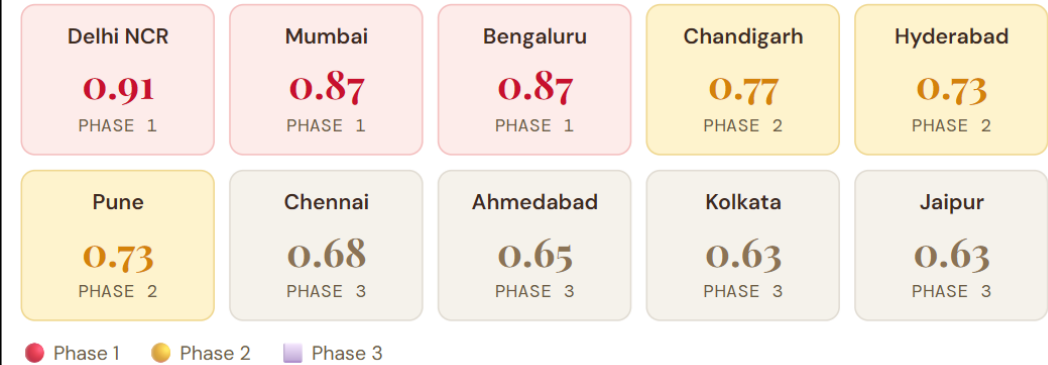
Mixed + Flagship Owned

Company-owned flagship stores in key metros to control brand standards. Add delivery (Swiggy/Zomato) + drive-thru pilots in suburban markets.

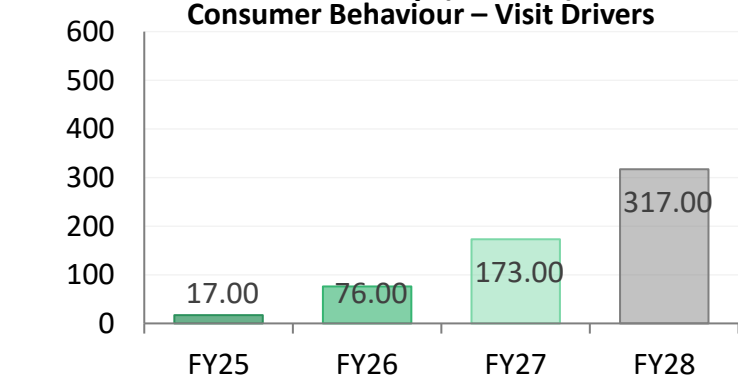
3-Phase Rollout Plan



City Prioritization – Weighted Score



Revenue Build – Bottom-Up (₹ Crore)



Note: Bottom-up assumes 350 operating days, ₹280 avg ticket in Year 1 scaling to ₹340 by Year 5 as brand matures. Starbucks India launch data used as footfall benchmark.

19.1% EBITDA Margin	3.7 yrs Payback Period	₹41L Annual EBITDA
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REVENUE	MONTHLY	ANNUAL
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Gross Revenue	₹17.86L
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COGS – ingredients & packaging	₹5.36L
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OPERATING EXPENSES

Staff cost (12 FTE @ ₹22k/mo)	₹2.64L	14.8%
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Marketing & promotions (5%)	₹0.89L	5.0%
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Other Opex (misc, 3%)	₹0.54L	3.0%
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EBITDA ₹3.41L/mo | 19.1%

Category	Value
Revenue	17.86
COGS	-5.36
Rent	-3.6
Staff	-2.6
Royalty	-1.07
Other Opex	-1.78
EBITDA	3.41

3.7 years

A horizontal timeline bar divided into five equal segments labeled 'Yr 1', 'Yr 2', 'Yr 3', 'Yr 3.7', and 'Yr 5' from left to right. The bar is dark green, and a lighter green segment highlights the period from 'Yr 3' to 'Yr 5'. A vertical line marks the position of 'Yr 3.7'.

Benchmarks: Industry standard for QSR café in India is 3-5 years. TH at 3.7 years is competitive, especially if footfall ramps 20%+ in Year 2 as assumed.



If Tim Hortons does X, Y, Z in this order – here's why it works, and the risk if they don't

Risk Register – What Could Break This

RISK	LIKELIHOOD	IMPACT	MITIGATION
Franchisee quality / brand dilution — wrong operator partner destroys unit economics and brand in Year 1	HIGH	HIGH	Exclusive JV with only 1–2 proven operators (Devyani / Jubilant). No sub-franchising until 20+ stores validated.
Chai dominance — 58% of urban India is chai-first; coffee positioning may not land	MED	HIGH	Launch Chai Latte as a hero product on Day 1. Frame TH as "coffee + chai" house, not just a coffee brand.
Real estate costs — Metro high-street rent at ₹300/sqft is aggressive; EBITDA sensitive to this	HIGH	MED	Prioritise malls (fixed revenue share), airports (captive), and RBI's Burger King co-location pipeline.
Starbucks response — Tata-Starbucks may cut prices or accelerate Tier 2 expansion in response	MED	MED	TH's structural cost advantage (COGS 30% vs Starbucks ~32%, lower ticket) is defensible. Speed of rollout is the moat.
Supply chain for Timbits — proprietary donut product requires centralised production; India lacks this infra	MED	MED	Partner with Central Kitchen operators (Rebel Foods / IDP) for Timbits production. Or import premix for Phase 1.

Risk Register – What Could Break This

Yes: if they do three things right: (1) Enter via a proven QSR franchisee (Devyani/Jubilant), not independently. (2) Lead with the breakfast occasion and localised menu – **Chai Latte + Veg Wrap are not optional**; they are the gateway to India's 58% chai-first majority. (3) Use Timbits and the loyalty app as the habit-formation engine, not just a product, but a daily ritual.

The white space is real: India has no affordable global café brand that owns morning breakfast. Starbucks is too premium. CCD is too distressed. McCafé is not a café. Tim Hortons' positioning, everyday quality, honest pricing, food + coffee, is precisely what this market needs. The EBITDA math works at 19.1% margin with a 3.7-year payback.

The risk if they don't: A slow rollout that cedes the white space to a revitalised CCD or an aggressive Third Wave expansion. India rewards speed, but only for brands that localise fast enough to deserve it.



Thank you

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INSTITUTION

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